

A MatchMarket round: a client hires one of three candidate agents

Candidate A claims 8/10

*"Proven track record;
exceptional results."*

true skill 2/10 · hidden from selector

Candidate B claims 5/10

*"Reliable and efficient;
solid quality work."*

true skill 5/10 · hidden from selector

Candidate C claims 9/10

*"Exceptional expertise
and experience."*

true skill 8/10 · hidden from selector

The Inflator (A) and the Expert (C) advertise almost identically; only C is genuine.

the same slate is judged twice, once under each condition:

NO RECORD · claims + pitch only

Sees each candidate's claim and pitch.

A and C both claim high and boast,

indistinguishable without evidence.

Reasons "high claims are likely inflated,"

and avoids both A and C.

× hires B (Mid): flight to mediocrity, payoff 5

WITH RECORD · + audited history

Adds each candidate's audited past rounds:

A: past claim 8, audit revealed 2 (exposed)

C: past claim 8, audit confirmed 8 (genuine)

B: past claim 5, audit confirmed 5

The liar is now separable from the expert.

✓ hires C (Expert): correct, payoff 8